(5)

IN THE NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH - I, CHENNAI

CP(CAA)/872/CHE/2020
In
CA/(CAA)/216 & 217/2018

Under Sections 230 to 232 of the Companies Act, 2013

In the matter of *Scheme of Amalgamation*

Of

ARIHANT UNITECH REALTY PROJECTS LIMITED
CIN NO: U74899TN2005PLC123508
Reg Off: No.3 (Old No.25) Ganapathy Colony,
3rd Lane, off.Cenotaph Road,
Teynampet, Chennai – 600 018

...Transferor Company

With

NORTH TOWN ESTATES PRIVATE LIMITED
CIN:- U74120TN2008PTC123313
Reg Off: No.3 (Old No.25) Ganapathy Colony,
3rd Lane, off Cenotaph Road,
Teynampet, Chennai – 600 018

...Transferee Company

And

THEIR RESPECTIVE SHAREHOLDERS

Order Pronounced on 25th May 2022

CORAM

R. SUCHARITHA, MEMBER (JUDICIAL)
SAMEER KAKAR, MEMBER (TECHNICAL)

For Applicant(s): *Krishna Sharan Mishra, Authorised Representative*

ORDER

Per: **R. SUCHARITHA, MEMBER (JUDICIAL)**

The hearing of this Petition has been conducted through video conferencing platform.

2. The present Company Petition has been filed by the Petitioner Companies above named for the purpose of the approval of the Scheme of Amalgamation of **ARIHANT UNITECH REALTY PROJECTS LIMITED** *(hereinafter referred to as "Transferor Company")* and **NORTH TOWN ESTATES PRIVATE LIMITED** *(hereinafter referred to as "Transferee Company")* under Sections 230 to 232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (for brevity 'the Rules') (hereinafter referred to as the 'SCHEME') pursuant to the Scheme proposed by the Petitioner Companies and the said Scheme is also annexed as 'Annexure – A5' to the typed set filed along with the Petition.

3. **1ST MOTION APPLICATION – IN BRIEF**

3.1. The Transferor Company and Transferee Company have filed the First Motion Application vide CA(CAA)/216 & 217/(CHE)/2018 seeking directions for holding of the meetings of the Equity Shareholders and Unsecured Creditors of both the Transferor Company and Transferee Company.

3.2. Based on such application moved under Sections 230-232 of the Companies Act, 2013, directions were issued by this Tribunal, vide order dated 28th March 2019, to convene the meetings of Shareholders and Unsecured Creditors of the *Transferor Company* on 23rd May 2019 & 16th May 2019 at No.3 (Old No.25), Ganapathy Colony, 3rd Lane, Cenatoph Road, Teynampet, Chennai- 600 018 at 11.00 A.M & 03.00 P.M. respectively and to convene the meetings of Shareholders and Unsecured Creditors of the *Transferee Company* on 23rd May 2019 & 16th May 2019 at No.3 (Old No.25), Ganapathy Colony, 3rd Lane, Cenatoph Road, Teynampet, Chennai- 600 018 at 12.00 P.M & 04.00 P.M. respectively . Accordingly, the Tribunal had appointed Mr. Harish Marlecha, Director of the Transferor Company and Mr.Omprakash Madhav Director of the Transferee Company as Chairman for the above said meetings.

3.3. The Chairperson has submitted his Report on the above said meetings on 23rd May & 30th May, 2021 with the Tribunal. From the Chairperson's report, it is observed that the Equity Shareholders and the Unsecured Creditors of both the Transferor Company and Transferee Company had consented in favour of the Scheme. The said Chairperson's report with respect to Transferor Company is annexed at "Annexure A11 & Annexure A15" to the typed set filed along with the Petition

and the Chairperson's Report with respect to Transferee Company is annexed at "Annexure A10 & Annexure A14" to the typed set filed along with the Petition.

3.4. It is seen from the records that the Applicant Company has filed MA/102/2020 before this Tribunal for condoning the delay in filing the second motion petition for sanctioning the Scheme. The said MA/102/2020 came to be dismissed by this Tribunal vide its order dated 13.02.2020. Aggrieved by the same, the Petitioner preferred an Appeal before Hon'ble NCLAT vide Company Appeal (AT) No. 162 of 2020 and the Hon'ble NCLAT vide its order dated 05.11.2020 has set aside the order passed by this Tribunal and resultantly MA/102/2020 was allowed. Accordingly, the Petitioner has filed the second motion petition before this Tribunal.

4. RATIONALE OF THE SCHEME

4.1. The rationale and benefits of the Scheme as submitted by the Learned Authorized Representative for the Petitioner Companies would *inter alia* result in the following benefits;

a. The combined resources of the Transferee Company will be conducive to enhance its capabilities to face competition in the market place more effectively.

b. Result in improved shareholder value for both the companies by way of improved financial structure and cash flows, increased asset base and stronger consolidated revenue and profitability and higher net worth of combined entity.

c. Greater efficiency in cash management of the Transferee entity, and unfettered access to cash flow generated by the combined business which can be deployed more efficiently to fund organic and inorganic growth opportunities, to maximize shareholder value.

d. Improved Organizational Capability and leadership, arising from the pooling of human capital who have the diverse skills, talent and vast experience to compete successfully in an increasingly competitive industry.

e. Administrative convenience.

5. In the first motion application filed by the Petitioner Companies, this Tribunal had directed the Petitioner Companies to issue notices to the Statutory / Regulatory Authorities viz. (i) Regional Director, MCA (ii) RoC, Chennai, (iii) the Income Tax Authorities, (iv) Official Liquidator and other sectoral regulators who may have significant bearing on the operation of Petitioner Companies, as well as for paper publications to be made in "Business Standard", English (All India Edition) and "Dina Malar" Tamil (Tamil Nadu Edition).

6. In compliance with the said directions issued by this Tribunal, the Authorised Representative of the Petitioner Companies had filed an affidavit of service in relation to the compliance of the order passed by the Tribunal as noted above and a perusal of the same discloses that the Petitioner Companies have effected paper publications as directed by the Tribunal in "Business Standard" (All India Edition) in English and "Dina Malar" (Tamil Nadu Edition) in Tamil dated 08th November 2021. It is also seen that notices have also been also served on (i) Regional Director, Southern Region, Chennai on 18th October 2021, (ii) Registrar of Companies Chennai on 18th October 2021, (iii) Income Tax Department on 18th October 2021, (iv) Official Liquidator on 18th October 2021 and the proof of the same by way of affidavits have been enclosed with the typed set filed along with the Petition. Pursuant to the service of notice of the petition the following statutory authorities have responded as follows:

7. STATUTORY AUTHORITIES

7.1. REGIONAL DIRECTOR

The Regional Director *(hereinafter referred to as 'RD')* Southern Region to whom the notice was issued has filed his Report on 30th September 2019 before this Tribunal and has stated that Clause 8 of Part II of the Scheme provides for the

protection of the interest of the employees of the Transferor Company. It was further observed that as per the report of RoC, Chennai, the Transferor Company and Transferee Company are regular in filing their statutory returns and has reported that there is no prosecution / complaint / inspection or investigation is pending against the companies.

7.2. Further at Para 9, the RD has observed that clause (1) of Part III of the Scheme has stated that the Authorized Capital of the transferor company will be merged with the authorized capital of the Transferee Company. The Transferee Company may be directed to file the amended MOA and AOA with the ROC, Chennai for its records. In the said clause of the scheme the companies have stated that the transferee company would not be required to pay any fee or stamp duty for the increase in the authorised capital. This is not correct. As provided under clause (i) to sub section (3) of Section 232 of the Companies Act, 2013 the Transferee Company has to pay the fees, if any, for the enhanced authorized capital subsequent to the amalgamation after setting off the fees paid by the transferor Companies. In the light of the transferee company may be directed to comply with the above provisions of the Act by making an application with the RoC, Chennai for payment of the balance fee as applicable under the provisions of the Act

and Rules framed thereunder. Apart from the above, the Regional Director has not made any objection to the Scheme.

7.3. OFFICIAL LIQUIDATOR

In relation to the Official Liquidator *(hereinafter referred to as 'OL')* to whom the notice was issued in the first motion stage itself has filed the Report before this Tribunal on 28th January 2020 and has stated that they have appointed M/s. Padmanabhan Ramani & Ramanujam., Chartered Accountants, one of the firms of Chartered Accountants from the panel maintained by their office to verify into the affairs of the Transferor Company. M/s.Padmanabhan Ramani & Ramanujam in their report submitted before the Official Liquidator have observed as follows:

- As per records of the Transferor Company, there are no statutory dues pending for more than 6 months as on 31.03.2017, except for disputed amount of Rs.4,20,07,010/- relating to AY-2013-14 & 2014-15 mentioned in the Audit Report for the Financial Year 2016-17 of the Transferor Company. Besides, outstanding demand amount of Rs.1,08,38,080/- is also found in the Income Tax Portal relating to AY 2015-16.

- The Statutory Auditors has also provided a disclaimer of opinion for the years ended

31.03.2017 and 31.03.2018 on the adequacy and operating effectiveness of the Company's internal financial controls over financial reporting as the company had not established its internal controls over financial reporting on criteria based on or considering the essential components of internal control stated in Guidance Note on Audit Internal Financial Controls over Financial Reporting issued by the Institute of Chartered Accountants of India both with respect to entity level controls. Because of reason, the auditors were unable to obtain sufficient and appropriate audit evidence to provide a basis for their opinion. Management has responded that the Company has an adequate internal financial control which is commensurate with the nature and size of the business. The Statutory Auditors had also reported in the Independent Auditor's Report for the year ended 31.03.2019 that the company has in all material aspects, an adequate internal financial controls over financial reporting and such internal financial controls over financial reporting were operating effectively as at March, 2019.

- The Company is regular in filing Income Tax/ Service Tax/ Sales Tax/ ESI/PF returns and there are no disputed tax arrears or any statutory dues except the following as shown in the Independent Auditor's Report 2017, which are summarised below:-

Name of Statute	Nature of Dues	Amount Rs.	Period to which the amount pertains	Forum where such dues are pending	Current Status
Income Tax Act, 1961	Income Tax	1,74,90,190	AY 2013-14	CIT (Appeals) -1, New Delhi	Received Appellate order from CIT (Appeals)-1 New Delhi in Appeal No.49/16-17 dated 03.08.2018 partly in favour of Company
Income Tax Act, 1961	Income Tax	2,45,16,820	AY 2014-15	CIT (Appeals) -1, New Delhi	Received Appellate order from CIT (Appeals)-1 New Delhi in Appeal No.515/16-17 dated 03.08.2018 fully in favour of Company

- However, as per the Income Tax Website, the outstanding demands are still reflected as under pending orders from the Assessing officer giving effect to the Appellate Order.

A.Y.	SECTION	OUTSTANDING DEMAND AMOUNT
2013-14	220(2)	52,54,733/-
2014-15	143(3)	1,37,45,298/-
2015-16	143	1,08,38,080/-

- Scrutiny of Tax Audit Returns for the years ended 31.03.2017, 31.03.2016, 31.03.2015, 31.03.2014 and 31.03.2013 do not show any adverse comments by the Auditors and no qualification was made.

- On scrutiny of reports of Statutory Auditors of the Company relating to related party transactions, the Chartered Accountants are of the opinion that the related party transactions are in compliance with Section

177 and 188 of the Companies Act, 2013 and as per the relevant Accounting standards.

- On the basis of their examination and discussions, the Chartered Accountants have had meeting / communication with the management of the company and the explanation, submissions and contentions given by the management on the basis of their scrutiny of the books of accounts for the years under review, no instance of misapplication, misappropriation and breach of trust on the part of the management of the company was revealed.

- Further in Para 4 of the OL Report wherein it was stated that the Chartered Accountant Firm reported that based up on the examination of books of records and books of accounts of the Transferor Company to the best of their knowledge and relying on the information and explanations given to them, they have not come across any misfeasance by the Directors which would attract the provisions of Section 339 and or 340 of the Companies Act, 2013. The Chartered Accountant are also of the opinion that the affairs of the Company were not being conducted in any manner prejudicial to the interest of the Company or stakeholders or the general Public.

7.4. From the above observations made by M/s. Padmanabhan Ramani & Ramanujam., the Official Liquidator sought to take on record and consider the report of the

appointed Chartered Accountant firm and has also sought to fix the remuneration payable to the Chartered Accountant firm who has investigated into the affairs of Transferor Company. In this regard, this Tribunal hereby directs the Transferor Company to pay a sum of **Rs.50,000/-** *(Rupees Fifty Thousand Only)* to the Official Liquidator for the payment of fees payable towards the appointed Chartered Accountant firm who has investigated into the affairs of the Transferor Company.

7.5. In the present case, it is seen that there are certain income tax arrears which are required to be collected from the Transferor Company and this Tribunal is not shutting out the legitimate interest of the Income Tax authorities to recover the lawful dues payable by the Transferor Companies and since the Transferee Company is not being dissolved and the Scheme provides the savings in relation to the liabilities as well, the rights of the Tax authorities shall remain intact and they can proceed against the Transferee Company in accordance with law, if any amount is found due and payable. The Hon'ble NCLAT also in the **Ad2Pro Creative Solutions Private Limited –Vs- Regional Director (SER) MCA**, in Company Appeal (AT) No. 98 of 2019, in relation to the dues of the Income Tax has held in para 7 as follows;

"7. .....Admittedly, proceedings are pending in appeal before ITAT and depending upon the outcome of such proceedings, the Transferee Company has undertaken to satisfy all demands emanating from and raised by the competent tax authorities. The Scheme having been approved and sanctioned and the same being in consonance with law, no fault can be found with the Transferee's undertaking to satisfy all demands raised by the tax authorities as finally determined by due process. The Appellants are justified in maintaining that the tax liabilities would be satisfied by the Transferee as determined by the competent forum seized of the matter in accordance with the approved Scheme which admittedly does not come in conflict with any express provision of the Companies Act, 2013. The legitimate interests of the concerned Tax Authorities have been lawfully protected and their right to recover the tax dues as determined by ITAT or any other competent forum as the case may be, remains intact."

7.6. **OTHER STATUTORY AUTHORITIES**

In relation to the other statutory authorities to whom notices have been issued, neither they have filed any reply nor raised any objections to the Scheme and in the circumstances, this Tribunal presumes that other statutory authorities viz. the Income Tax Department do not have any objection to the sanction of the Scheme.

8. **VALUATION REPORT**

The Learned Authorized Representative for the Petitioner Companies invited the attention of this Tribunal to the Valuation Report obtained from Mr. M.S. Chandrasekar, Registered Valuer dated 28th May 2018, wherein it has been recommended by the independent Registered Valuer as follows:

Equity Shareholder:

10,00,000 equity shares of NTEPL of Rs.10/- each to the equity shareholders of AURPL Company.

- *To Arihant Housing and Foundation Limited – 6,50,000 equity shares of Transferee company*
- *To Unitech Limited – 3,50,000 equity shares of Transferee Company*

Preference Shareholder:

2,38,00,000, 0.05% Compulsorily Convertible Preference Shares ("CCPS") of NTEPL of Rs.10/- each to the preference shareholders of AURPL. In other words, for one 0.05% CCPS in AURPL, one 0.05% CCPS in NTEPL.

9. **ACCOUNTING TREATMENT**

The Learned Authorized Representative for the Petitioner Companies has stated that the Statutory Auditors of the Petitioner Companies have examined the Scheme and has certified that the Petitioner Companies have complied with proviso to Section 230(7) / Section 232(3) of Companies Act,

2013 and the Accounting Treatment contained in the Scheme is in compliance with the applicable Indian Accounting Standards. The certificates issued by the Statutory Auditors certifying the Accounting Treatment of the Petitioner Companies are placed at page no 23 of the Affidavit of Service typed set dated 08.11.2021.

10. OBSERVATIONS OF THIS TRIBUNAL

10.1. After analysing the Scheme in detail, this Tribunal is of the considered view that the Scheme as contemplated amongst the Petitioner Companies seems to be *prima facie* beneficial to the Petitioner Companies and will not be in any way detrimental to the interest of the shareholders or creditors of the Petitioner Companies. In view of the absence of any other objections having been placed on record before this Tribunal and since all the requisite statutory compliances having been fulfilled, this Tribunal sanctions the Scheme appended as Annexure "A5" with the Company Petition as well as the prayer made therein.

10.2. The Learned Authorized Representative for the Petitioner Companies submitted that no investigation proceedings are pending against the Transferor Company or Transferee Company under the provisions of the Companies

Act, 1956 or the Companies Act, 2013 and no proceedings against the Petitioner Companies for oppression or mismanagement have been filed before this Tribunal or erstwhile Company Law Board.

10.3. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the Petitioner Companies.

10.4. While approving the Scheme as above, it is clarified that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any, payment is due or required in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

11. **THIS TRIBUNAL DO FURTHER ORDER:**

(i) That all properties, right and interest of the Transferor Company shall, pursuant to section 232(3) of the Companies Act, 2013 without further act or deed be transferred to and vest in or be deemed to have been

transferred and vested in the Transferee Company with effect from the Appointed Date.

(ii) That all the liabilities, powers, engagements, obligations and duties of the Transferor Company shall pursuant to Section 232(3) of the Companies Act, 2013 without further act or deed be transferred to the Transferee Company and accordingly the same become the liabilities and duties of the Transferee Company with effect from the Appointed Date.

(iii) That the Appointed date for the Scheme shall be **1st April 2017** as specified in the Scheme.

(iv) That all proceedings now pending by or against the Transferor Company be continued by or against the Transferee Company.

(v) That all the employees of the Transferor Company in service on date immediately preceding the date on which the Scheme finally takes effect shall become the employees of the Transferee Company without any break or interruption in their service.

(vi) That the Transferee Company do without further application allot to such members of the Transferor Company, as have not given such notice of dissent, as is required by Section 11 of Part II of the Scheme herein, the shares in the Transferee Company to which they are entitled under the said Scheme.

(vii) That the Transferee Company shall file the revised Memorandum and Articles of Association with the Registrar of Companies, Chennai and further make the requisite payments of the differential fee (if any) for the enhancement of authorized capital of the Transferee Company after setting off the fees paid by the Transferor Company.

(viii) That the Transferor Company and the Transferee Company, shall within thirty days of the date of receipt of certified copy of this order cause such certified copy to be filed with the Registrar of Companies in e-Form INC-28 and on such certified copy being so filed, the Transferor Company shall be dissolved and the Registrar of Companies shall place all documents relating to the Transferor Company registered with him on the file kept by him in relation to the Transferee Company and the files relating to both the said Petitioner Companies shall be consolidated accordingly.

(ix) That any person interest shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

12. Accordingly, the Company Petition stands **allowed** on the aforementioned terms.

-Sd-
SAMEER KAKAR
MEMBER (TECHNICAL)

-Sd-
R. SUCHARITHA
MEMBER (JUDICIAL)

Raymond